

Accounts Receivable & Cash Flow Analysis

Molonglo Business Guild Q3 FY26 (Jan-Mar 2026)

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\$2.02M Outstanding Receivables **61.5%** Collection Rate **80%** Sponsorship Share **128** Members Over Limit

EXECUTIVE SUMMARY - MAIN MESSAGE

The Guild's \$2.02M receivables position is fundamentally sound - 53% is not yet due, and payment follow-up improved through the quarter.

The headline 61.5% collection rate understates health because **\$1.07M** of the **\$2.02M** owed simply hasn't reached its due date. Only 17.9% of invoices are genuinely overdue. The real risks are narrower and specific: **sponsorship drives 80%** of outstanding receivables (revenue-type concentration) and **128 members (34%) exceed their credit limit** - but the main cause is limits undersized for sponsorship invoices, not poor payers. On-time collection improved from **40% to 64%** through the quarter.

- On-time collection: 40% -> 64%
- Sponsorship = 80% of outstanding receivables
- 128 members over credit limit
- 80% of book clears by mid-April

I CONTEXT - WHAT THIS ANALYSIS COVERS

Data Source and Scope

This analysis is a single-quarter cash position snapshot - it should not be interpreted as a long-term trend or seasonality analysis.

REPORTING PERIOD	DATASET	ANALYSIS TYPE
Q3 FY26 (January - March 2026). Based on invoice issue dates. Snapshot at 31 March 2026.	Synthetic accounts receivable dataset modelled on a Xero-style export, containing 2,520 invoices across 445 members.	Single-quarter descriptive + diagnostic snapshot. Forecast is based on payment timing (short-term cash collection), not machine learning.

M APPROACH - HOW THE ANALYSIS WAS CONDUCTED

Methodology

The analysis follows a descriptive and diagnostic approach, structured across four stages:

01 Measure the Baseline Measure the receivables position: total invoiced, collected, unpaid and overdue balances, how old unpaid invoices are, and unpaid GST tax amounts.	02 Segment Receivables Group outstanding receivables by invoice age, revenue type, customer, member tier, industry, and payment pattern to show where the money is sitting.	03 Diagnose Structural Risk Apply concentration analysis, credit-limit exposure testing, and invoice-size cause review (Confirm -> Isolate -> Explain).	04 Forecast Cash Collection Project expected cash inflows using payment-timing assumptions based on individual member history (52%) and member-tier estimate (48%).
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01 OVERVIEW - WHAT MONEY IS STILL OWED?

\$2.02M owed, but 53% is not yet due - the book is younger than it looks.

The Guild owed \$5.25M in Q3 FY26. Over half the unpaid balance hasn't reached its due date - the aging profile is healthy.

TOTAL INVOICED	COLLECTED	OUTSTANDING RECEIVABLES	OVERDUE INVOICES
\$5.25M	\$3.23M 61.5% of invoiced	\$2.02M 38.5% still owed	17.9% 451 of 2,520

OUTSTANDING RECEIVABLES BY AGING BUCKET
Percentage of the \$2.02M outstanding balance - Current means not yet due

Current (not due) 53.2%

1-30 days 30.1%

31-60 days 11.8%

61-90 days 4.9%

HIGHLIGHTED INSIGHTS

- 53% of outstanding receivables (\$1.07M) is Current** - still within payment terms, not overdue. Only \$945K has actually passed its due date.
- 64% of overdue outstanding amount is under 30 days old** - \$607K that's fresh and recoverable with routine follow-up before it ages into harder buckets.
- No invoices have reached 90+ days overdue. **Caveat:** the absence of deeply aged outstanding amount is partly structural - a single quarter can't produce it.

02 CONCENTRATION - WHERE IS THE MONEY TIED UP?

Sponsorship drives 80% of outstanding receivables - revenue-type dependency, not outstanding amount or concentration.

The receivables book is overwhelmingly concentrated in one revenue type, but no single customer dominates.

OUTSTANDING RECEIVABLES BY REVENUE GROUP	SHARE OF THE \$2.02M OUTSTANDING BALANCE
Sponsorship	80%
Membership	13.1%
Unknown	4.8%
Events	1.6%
Other	0.5%

HIGHLIGHTED INSIGHTS

- Sponsorship = \$1.62M (80%)** of all outstanding receivables. Major Sponsorship alone is 43% - above the 25% concentration-risk threshold. If sponsorship billing stumbles, 80% of receivables are exposed simultaneously.
- Customer concentration is low - a clear strength.** The top customer with money outstanding holds only 1.7% of the book, and it takes 170 members (45%) to reach 80%. No single member's failure would materially damage receivables.
- The risk comes from **one revenue type**, not from one large customer. This means the Guild should focus on sponsorship billing and follow-up, rather than worrying about a single customer failure.

03 COLLECTIONS - MATURITY CHECK

March's 26.5% collection rate is a timing effect, not a collection collapse.

Collection rate by issue month measures what share of each month's billing has been paid by the snapshot - it is affected by how much time each invoice has had to be paid.

Two metrics, two stories: Issue-month collection rate and on-time collection rate are different measures. Issue-month rate is affected by how long invoices have had before payment is due (newer invoices often have not reached their due date yet, which lowers the rate). On-time collection measures punctuality among invoices that have already been paid - it is not affected by maturity. Sections 03 and 04 separate these clearly.

COLLECTION RATE BY ISSUE MONTH

How much of each month's invoicing has been collected by 31 Mar 2026

Jan 84.7%	Feb 74.3%	Mar 26.5%
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HIGHLIGHTED INSIGHTS

- **January's 84.7% is the mature reference point.** With a full quarter to be paid, January's cohort shows what collection looks like once invoices have had time to settle.
- **Do not act on March 26.5% as a problem.** Re-measure the March cohort at end-April once those invoices pass their terms. If it remains below 70%, then investigate.

COLLECTIONS - THE RELIABLE SIGNAL

On-time collection improved from 40% to 64% - payment follow-up strengthened.

Unlike the issue-month rate, on-time collection measures punctuality of actually paid invoices - unaffected by invoice maturity. This is the reliable performance signal.

04 COLLECTIONS - THE RELIABLE SIGNAL

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Jan

Feb

Mar

- **Sustain this improvement.** Identify what drove it (process change, seasonal, specific segments) and formalise it. If on-time drops below 50% next quarter, investigate immediately.

05 FORECAST - WHEN DOES THE MONEY ARRIVE?

80% of the book clears by mid-April - even under stress, no multi-month cash crisis.

A payment-timing-based collection forecast projects when the \$2.02M will convert to cash, with scenario testing for sponsorship delays.

BASE CASE: CUMULATIVE % OF BOOK COLLECTED

Projected week-by-week cash build-up toward the full \$2.02M

55.5%

W1 (30 Mar)

71.6%

W2 (6 Apr)

82.2%

W3 (13 Apr)

91.1%

W4 (20 Apr)

98%

W5 (27 Apr)

100%

May

HIGHLIGHTED INSIGHTS

● Base case: 80% by 13 April, 98% by 27 April.

Most of the book clears within four weeks of the snapshot.

● Stress scenario (sponsorship +14d): 80% slips to 27 April, with **\$304K of additional cash delayed** vs base - the tangible cost of sponsorship concentration.

● 52% of the forecast rests on individual member history: 48% uses member-tier estimate. Week -1 is dominated by \$861K overdue backlog - money that should already be in.

Scenario summary: Conservative (+7d all): 80% by 20 April, 98% by 4 May. Stress (sponsorship +14d, others +7d): 80% by 27 April, 98% by 11 May. Even under stress, no multi-month collection crisis - but sponsorship delays create short-term short-term cash pressure.

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Forecast confidence: Moderate. 52% of expected collections are based on individual member payment history, while 48% use member-tier estimate assumptions. The forecast should be used for **short-term cash planning**, not as a precise prediction. Actual collection dates may vary, especially for member-tier estimates where individual behaviour is unknown.

Dx DIAGNOSIS - CAUSE ANALYSIS

Over-limit exposure is a credit-limit design gap, not poor payment behaviour.

128 of 382 members (34%) exceed their credit limit, tying up \$1.23M - 61% of all outstanding receivables. Three steps trace the main cause.

STEP 1 - CONFIRM Is the problem real? "How many members are over their credit limit?" 128 of 382 members with open balances (34%) exceed their assigned credit limit. Their combined outstanding receivables is \$1.23M - 61% of all receivables. Peak utilisation reaches 926%. Overdue is spread proportionally across all tiers - not localised to one segment. -> Yes - a third of members with balances are over their limit, holding the majority of outstanding receivables.	STEP 2 - ISOLATE Where does it concentrate? "Which tiers are worst affected?" Associate and Standard tiers are hardest hit. A single \$7,725 sponsorship invoice exceeds an Associate limit (\$2,000, x3.9) and a Standard limit (\$5,000, x1.5). Premium and Corporate limits absorb it - Corporate has zero over-limit members. -> The problem hits tiers where limits are too small for sponsorship invoices.	STEP 3 - EXPLAIN Why is it happening? "Are these poor payers, or bad limits?" This is a mismatch between invoice size and credit limits. Two unpaid sponsorship invoices push any Standard or Associate member over their limit regardless of payment behaviour. The limits weren't sized for sponsorship-scale billing. -> The fix is credit-limit policy , not collections.
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MAX INVOICE (\$7,725) AS % OF CREDIT LIMIT BY TIER	Anything above 100% means a single sponsorship invoice can breach the limit
Associate (limit \$2K)	386% Δ
Standard (limit \$5K)	155% Δ
Premium (limit \$10K)	77%
Corporate (limit \$20K)	39%

✓ **MAIN CAUSE - SUPPORTED BY EVIDENCE**
The 34% over-limit rate is a **limit-setting effect**. Credit limits were set by tier without accounting for sponsorship-scale invoices (\$4,235-\$7,725). **Re-sizing limits to match typical invoice values** would eliminate most of the apparent credit-risk exposure without changing a single collection process.

Σ CONCLUSION

Five things to take away.

Cash position is sound 53% of the \$2.02M is not yet due. Only 17.9% of invoices are overdue, and 64% of overdue outstanding amount is under 30 days - fresh and recoverable.	Payment follow-up is improving On-time collection rose from 40% to 64%. The March collection-rate drop (26.5%) is caused by invoice timing, not a real decline.
Sponsorship = 80% of outstanding receivables Concentration is by revenue type, not by customer (top customer with money outstanding 1.7%). Under stress, a 14-day sponsorship delay traps \$304K of cash.	Over-limit is a policy gap 128 members exceed limits, but the main cause is limits undersized for \$7,725 sponsorship invoices - not poor payers. Fix the limits, not the collectors.
Cash clears in about 4 weeks 80% by mid-April (base case). Even stress reaches 80% within April. First-week backlog of \$861K needs immediate chase.	

Six actions to take now
1 Re-size credit limits for sponsorship-scale billing. <i>Why it matters</i> 34% of members are over their limit because limits weren't sized for \$4K-\$8K sponsorship invoices. <i>Next step</i> Align Associate/Standard limits to typical sponsorship invoice values, or create sponsorship-specific limits. <i>How / Expected outcome</i> Finance Manager; over-limit rate drops from 34% to <10%. \$1.23M shown as at risk reduces proportionally. <i>Timeline</i> Immediate
2 Chase the \$607K of 1-30 day overdue immediately. <i>Why it matters</i> This is the freshest, most recoverable overdue outstanding amount - 284 invoices averaging ~15 days past due. <i>Next step</i> Automated reminder at day 7, phone follow-up at day 21. <i>How / Expected outcome</i> AR Officer; recover 80-90% within 2 weeks, prevent \$607K from aging into the harder 31-60 day bucket. <i>Timeline</i> Immediate
3 Build a sponsorship-specific collection process. <i>Why it matters</i> Sponsorship is 80% of outstanding receivables - the Guild's cash position IS sponsorship collection performance. <i>Next step</i> Earlier invoicing (60 days before event), milestone payments for major sponsorships, named collector for top 20 accounts. <i>How / Expected outcome</i> Sponsorship + Finance; reduced sponsorship-specific average collection time, forecast stabilises (currently shifts 2 weeks under stress). <i>Timeline</i> This quarter
4 Do not treat March's 26.5% issue-month collection rate as a failure. <i>Why it matters</i> March invoices hadn't reached their due dates yet - the drop is invoice timing, not performance decline. <i>Next step</i> Re-measure at end-April once those invoices mature. Only investigate if it remains below 70% after those invoices have had enough time to be paid. <i>How / Expected outcome</i> Financial Analyst; avoid a false alarm, preserve management attention for the genuine risks. <i>Timeline</i> This quarter
5 Sustain the on-time collection improvement (40% -> 64%). <i>Why it matters</i> This 24-point improvement is a genuine positive trend in payment punctuality. <i>Next step</i> Identify what drove it and formalise. If on-time drops below 50% next quarter, investigate immediately. <i>How / Expected outcome</i> Finance Manager; the overdue outstanding balance could shrink by \$150K-\$300K per quarter if the improvement continues. <i>Timeline</i> Next quarter
6 Review Standard-tier payment terms for sponsorship invoices. <i>Why it matters</i> Standard members average 4.7 days after due date on 14-day terms - the latest of any tier relative to their deadline. <i>Next step</i> Consider extending to 21 days or offering a 2% early-payment discount for sponsorship-value invoices. <i>How / Expected outcome</i> Membership + Finance; fewer invoices classified as "overdue" without changing actual collection timing. <i>Timeline</i> Next quarter

Δ TRANSPARENCY

Data Notes and Limitations

• **Single-quarter analysis only.** Three monthly data points are a snapshot, not a trajectory. Cannot establish long-term trends or seasonality.

• **Synthetic dataset** modelled on a realistic Xero/BAS-style export. The process and method are identical to production; numbers are illustrative.

• **Forecast is based on payment timing**, not machine learning - appropriate for single-quarter data. 52% uses member history; 48% uses tier-average fallback.

• **Payment timing is partly modelled.** Lags were reconstructed during cleaning for corrupted rows. Collection-speed metrics are indicative, not fully observed.

• **Unknown records exist:** 181 Unknown-industry customers, 75 Unknown-category invoices (imputed during cleaning). Real shares are understated.

• **Credit limits are tier-based proxies** (\$2K-\$20K), not formally credit-assessed. "Over limit" signals relative exposure, not a credit breach.

• **No 90+ day overdue** partly reflects the 90-day analysis window - no invoice can structurally exceed ~80 days overdue. Aging severity is a lower bound.

• **GST sourced from invoice data**, not derived. GST-free items carry GST = 0. Outstanding GST = sum of the actual GST column on unpaid invoices.